Market Research: Letters from History

> **About this document.** Part 1 is our first market research (October 2026), done before we chose to launch in the UK. It looks mostly at US competitors and prices, which are still useful as a guide. **Part 2 covers the UK**, where we're launching: market size, printing and posting, costs in pounds, and UK rules. Current UK prices are **£7** (Story Letters) and **£12** (Pen Pal from History), replacing the US prices in Part 1.

Research date: October 2026. This is desk research from public sources; figures marked (unverified) come from secondary or self-reported sources.

The idea

Kids receive real paper letters by mail from historical figures (Cleopatra, Einstein, Amelia Earhart...). AI agents write each letter for the child's age and interests, a print-and-mail API sends it, and the child can write back.

Verdict

Demand: yes, proven. Market: niche but real. Opportunity: only with a clear differentiator.

- Several small companies already sell history letters by mail to kids and families, and parents and homeschool reviewers like them. That proves people pay for this.
- But they compete at **$6-9/month**, so a "me too" version would struggle.
- Almost all existing services are **one-way and the same letter for every child**. A historical figure who **actually reads your child's letter and answers their questions** is something AI makes cheap and human-written services can't easily copy. That's the gap.

Recommendation: GO, but validate first with a landing page and 20 founding families before building the full system (see "Validation plan").

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1. Competitors

Service	What it is	Price	Personalized?	Kids can write back?
Heritage Letter	Monthly letter from an American historical figure + card/artifact; homeschool focus	~$5.50-6/mo	No	No

Service	What it is	Price	Personalized?	Kids can write back?
Letters From Afar	Monthly illustrated letters from a world-traveling explorer; loved by homeschoolers	~$6-8/mo	No	No
History By Mail	Replicas of real historical letters/documents	$6.99/mo, $71.99/yr	No	No
Post from the Past	Illustrated letters from figures like Einstein, Curie, Earhart (also sold as Etsy PDFs)	~$9/mo	No	No
Noah's Letters	World history letters, ages 7-11, with maps and activities	n/a	Partly	No
Pen Pals from the Past	"Personalized, history-inspired letters for kids"	$1 first month, then $12/mo	Yes	Unclear
Snailbox	Personalized letters + stickers (not history)	$19.95/mo	Yes	No
Banjo Robinson (UK)	Personalized pen-pal cat, ages 5-8; 88% satisfaction in a Mumsnet test	n/a	Yes (questionnaire)	Encouraged, unclear if answered
History Unboxed	Hands-on history kits (box, not letters)	from ~$44.95/mo	No	No
Little Passports	Geography subscription kits; reached Target, acquired by BEGiN in 2021	~$25/mo	No	No

Signals:

- **Demand is proven:** many small players survive, and homeschool review sites (The Old Schoolhouse, Homeschool Fanatic, Snap Happy Mom) regularly feature them.
- **Scale is possible in letter clubs:** The Flower Letters (an adult story-letter club) grew from 38 to 31,000 subscribers at $12/mo, per USPS. Letters From Afar claims 12,000+ readers and 850,000+ letters delivered (unverified).
- **It's not easy:** Time Trekker Academy's "Kids Who Made America" letter subscription is discontinued. Small one-way clubs can stall.

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2. Market size

- **US homeschool students:** about 3.4 million (estimates range from 3 to 3.7 million). Growth was about 4.9% in 2024-25, nearly triple the pre-pandemic rate (Johns Hopkins Homeschool Hub, via secondary sources).
- **Homeschool curriculum spend:** estimated at $7.5B+ in the US (low-confidence market-research figure).
- **Other buyers:** grandparents (gifts), classroom teachers, and schooled kids whose parents want enrichment.

- **Bottom-up:** reaching just 0.1% of US homeschool students is about 3,400 subscribers, or roughly $40k/month at $12. A realistic year-1 goal is **300-1,000 subscribers, about $3.6k-12k/month**.

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3. Customer segments (in priority order)

1. **Homeschool parents.** They actively look for history supplements, are already used to buying them, and read and trust review blogs.
2. **Grandparents buying gifts.** They pay upfront for 6 or 12 months, which solves churn, and they peak around Christmas and birthdays.
3. **Parents trying to cut screen time.** They respond strongly to the "real mail, no screens" pitch.
4. **Teachers (later).** A classroom edition with one letter for the whole class plus individual replies.

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4. Differentiation: what only AI makes possible

Feature	Competitors	Us
Child's name, age, interests woven in	Rare	Every letter
Figure answers the child's actual reply	None found	Core feature: a parent photographs the child's handwritten letter and the figure responds to it in the next letter
Reading level matched to the child	One level, or two age tiers	Adjusted per child
Story arc across months	Rare	"Travel through time": each figure hands off to the next
Accuracy	Human-written	Every letter fact-checked by a second agent against vetted sources, with a "Real history" note on the back

Positioning line: *"History writes back."*

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5. Unit economics (estimates)

Assumption: $14/month for 2 letters a month (one story letter plus one reply to the child's letter).

Cost per subscriber per month	Estimate
Print + postage (Lob, ~$0.83/letter base, plus color/extra page/insert) × 2	~$2.50-3.00
AI (writing + fact-check + handwriting reading)	~$0.20-0.50
Payments (Stripe ~3% + 30¢)	~$0.70
Total	**~$3.50-4.20**
Gross margin	**~$10/mo (~70-75%)**

- **Churn:** subscription boxes typically lose 5-15% of subscribers per month (vendor benchmarks). Assuming about 10%, a subscriber stays about 10 months, worth roughly **$100 in gross margin**.
- **So you can afford to spend up to ~$30-40 to win a customer.** Paid ads for kids' subscriptions can exceed that, so lean on organic channels and prepaid gift plans.
- **Lob pricing:** the base rate rose about 3-6% in July 2026 (third-party report). Volume plans are cheaper.

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6. Go-to-market

1. **Homeschool reviewers and bloggers:** send free 3-month subscriptions. They review this category constantly.
2. **Homeschool communities:** Facebook groups, r/homeschool, co-ops, curriculum fairs.
3. **Marketplaces:** Cratejoy and Etsy, where competitors already sell.
4. **Gift season:** a "12 letters from history" prepaid gift for grandparents, launched for the holidays.
5. **Content and search:** free printable "letter from Abraham Lincoln" PDFs as an entry point that leads to the subscription.
6. **Shareable moment:** encourage parents to post "my kid got a letter back from Einstein". That reaction is the marketing.

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7. Risks and how to handle them

Risk	Mitigation
Historical inaccuracy (AI making things up)	A fact-check agent, a curated fact sheet per figure, and a "Real history" note citing sources. A human spot-checks a sample
Sensitive history (war, slavery, colonialism)	Age-appropriate guidelines for each figure; a parent can choose topics to avoid
Children's privacy (COPPA in the US, the Age Appropriate Design Code in the UK)	Collect from **parents only**, keep data minimal, and delete reply photos after processing. Write a privacy policy before launch
Parents wary of "AI letters"	Be transparent ("crafted with AI, checked for accuracy") and lead with the experience and the reply feature
Low price anchor ($6-9)	Price for the two-way feature and offer a one-way tier at $8
Churn after the novelty wears off	Story arcs, letters that build on each other, and prepaid 6/12-month plans
US-only mail at first	The Lob API covers the US. Add the UK later through a UK print-mail provider

8. Validation plan (2-3 weeks, under $150)

1. **Landing page:** "History writes back", with a real sample letter, two tiers ($8 one-way, $14 two-way), and a "Reserve a founding spot" waitlist or $1 pre-order.
2. **Send 5-10 real sample letters** (generated by the agents and mailed through Lob) to friends with kids. Record the reactions, with permission.
3. **Share** in 5 homeschool Facebook groups or subreddits (where rules allow), and run a ~$50-100 Meta ads test aimed at homeschool parents and grandparents.
4. **Success criteria:**
5. 3% or more of visitors join the waitlist, and
6. 10 or more people pay a deposit or pre-order, and
7. 30% or more pick the two-way tier, which tests the differentiator.
8. **If it passes:** build the full agent system. If it fails, try the grandparent-gift angle, then move on.

Sources

- 8 Letter Subscriptions for Kids Who Love Mail (Snap Happy Mom)
- Heritage Letter
- Post from the Past review (The Homeschool Front)
- Pen Pals from the Past
- Noah's Letters
- History By Mail
- Letterjoy
- AARP: Letters from historic figures
- The Old Schoolhouse reviews (Heritage Letter / History by Mail)
- Letters From Afar review (Homeschool Fanatic)
- Letters From Afar reviews (Letter Clubs)
- Letter club directory
- History Unboxed reviews (My Subscription Addiction)
- Kids Who Made America letter (Cratejoy, discontinued)
- Banjo Robinson (Gift of the Year)
- Banjo Robinson Mumsnet product test
- The Flower Letters (USPS News)
- BEGiN acquires Little Passports (Kidscreen)
- Homeschool statistics 2026 (Kuraplan)
- Homeschooling market report (Market Intelo)
- Lob pricing
- Lob pricing change log, July 2026 (PricingSaaS)
- Subscription box churn benchmarks (Eightx)
- How to decrease subscription box churn (Arka)

Part 2: UK Market and Launch Economics

Researched October 2026. Prices change, so confirm current rates before relying on them. Each print-and-post service below has a test mode or free trial you can use to check.

How a letter gets to a child

`Agents write and fact-check → render an A4 PDF (letter front, Real history card back) → print-and-post API prints it double-sided, folds it into a window envelope, prints the child's address in the window zone, and hands it to Royal Mail → it arrives through the letterbox (2nd class: usually 2–3 working days)`

The letters are designed for this. Page 1 keeps the **address-window zone clear** at the top left, with the figure's place line opposite it, just like a real letter.

Print-and-post options

Service	What it is	Price per A4 letter incl. postage	API	Notes
Stannp (recommended, built in)	UK print-and-post platform	Advertised from **£0.38** at high volume. The Free plan lists **£0.88**, falling to £0.44–0.48 on paid plans at volume	Yes. **Test mode makes a free PDF proof** without posting	Built into `letters send`. Accepts PDF, A4, double-sided, white-out address zone, 1st-class add-on
Intelliprint	UK hybrid mail, printed in Leeds	From **84p** incl. 2nd class	Yes (REST, Zapier, n8n)	Good backup. The price source is a few years old
Docmail	UK hybrid mail	**£1.05** colour A4, economy postage (ex VAT)	Yes	Pay as you go, no minimums
PostGrid UK	International print-and-mail API	Quoted in USD	Yes	Ask for a UK quote
Do it yourself	Home printer + window envelope + stamp	~15p print and envelope + **91p** 2nd class stamp (**£1.80** 1st class)	n/a	**Best for the first 5-10 test letters**

Royal Mail stamp prices from 7 April 2026: 2nd class letter 91p, 1st class letter £1.80. A folded A4 sheet in a DL or C5 envelope is a standard "letter" (up to 100g).

Recommendation:

1. **Validation (first 5-10 letters):** print at home and post them yourself. Run `letters write … --print-address address.json` so the address prints in the window position, then use a DL window envelope and a 2nd class stamp. No accounts, no integration risk, about £1 a letter.

2. **Before launch:** make a Stannp account and send a few **test-mode** letters (`letters send letter.pdf --to address.json`). Check that the address lands in the window and nothing important is hidden by the white-out zone. Stannp publishes exact template measurements, so compare against them.
3. **Launch:** `letters send ... --live`. The `cost` field in each response shows exactly what you paid.

Unit economics in pounds (estimates)

Per subscriber per month	Story Letters, £7 (1 letter)	Pen Pal from History, £12 (2 letters)
Print + envelope + 2nd class postage (~£0.88 each on Stannp's Free plan)	£0.88	£1.76
AI (writing, fact-check, reading replies)	~£0.15	~£0.30
Card payments (Stripe UK cards ~1.5% + 20p)	~£0.31	~£0.38
Total cost	**~£1.34**	**~£2.44**
Gross margin	**~£5.66 (81%)**	**~£9.56 (80%)**

- **VAT:** you only register once turnover passes **£90,000** a year. After that, 20% VAT comes out of your prices (£12 becomes £10 net), so plan your prices with that in mind.
- **Volume:** paid Stannp plans bring postage-inclusive letters down to about £0.44-0.48 at higher volumes.
- **1st class** costs more and isn't needed. Letters aren't urgent, and 2nd class adds to the "real post" feel.

Market (UK)

- **126,000 children were electively home educated in England** on census day in autumn 2025, up from 111,700 a year earlier. **175,900** were home educated at some point during 2024/25 (DfE). Add Scotland, Wales and Northern Ireland, plus school-going children whose parents want enrichment.
- **Grandparents buying gifts** are a big UK segment. Christmas and birthdays favour prepaid 6- or 12-month plans.
- **UK competitor to watch: Banjo Robinson.** It's a personalised pen-pal cat for ages 5-8, and 88% of parents were satisfied in a Mumsnet product test. It proves UK parents pay for personalised letters for children. It isn't history, and it doesn't answer each child's own letter the way ours does.

UK rules checklist (before taking money)

This is a checklist, not legal advice. Check the current guidance for each item.

- [ ] **Data protection (UK GDPR):** register with the ICO and pay the data protection fee (about £50 a year for most small businesses). Publish a privacy notice. Collect data **from parents only**, keep it to the minimum, and delete reply photos after reading.

- [ ] **Children's data:** the service is bought and run by parents, so children never get accounts. Review the ICO's Age Appropriate Design Code ("Children's Code") anyway, because children's letters pass through the service.
- [ ] **Consumer law:** online subscriptions normally carry a 14-day cancellation right under the Consumer Contracts Regulations. Show clear prices including postage, and make cancelling easy. **New subscription rules under the DMCC Act 2024** (reminder notices, easy exit) are being phased in, so check their status before launch.
- [ ] **Advertising (ASA/CAP code):** you must be able to back up claims like "every fact checked". Keep fact-check records (the `.json` file saved with each letter). Be open that letters are written with AI help.
- [ ] **Business setup:** start as a sole trader (register for Self Assessment with HMRC) or a limited company. Choose a trading name and check the domain.
- [ ] **Inserts:** if you later add stickers or small items to envelopes, check toy-safety rules first. Paper-only letters keep this simple.

UK marketing channels

- **Mumsnet and Netmums:** read the self-promotion rules. Mumsnet also runs paid product tests, as Banjo Robinson did.
- **UK home-education Facebook groups** and local home-ed co-ops. Many have resource-sharing days.
- **Instagram home-ed and "screen-free childhood" accounts:** offer founding families free months in return for honest posts.
- **Grandparent gifting:** run a Christmas campaign (October to early December) for a prepaid "12 letters from history" plan.
- **Subreddits** for UK parenting and home education, only where promotion is allowed.

Sources

- Stannp UK letters
- Stannp detailed pricing
- Stannp letters API
- Stannp: how to send a letter through the API
- Stannp: sending letters with Make.com
- Intelliprint pricing
- Docmail prices
- PostGrid UK hybrid mail API
- Royal Mail 2026 stamp prices (Be Clever With Your Cash)
- Current Royal Mail postage rates 2026 (Mailcoms)
- DfE: Elective home education, autumn term 2025/26
- GOV.UK: Elective home education statistics
- Banjo Robinson, Mumsnet product test